October 30, 2026

Pahal Financial Services Pvt. Ltd.: Rating confirmed as final for PTCs backed by microfinance loan receivables issued by Antares Trust 2026

Summary of rating action

Trust name	Instrument*	Initial Rated amount (Rs. crore)	Current Rated amount (Rs. crore)	Rating action	Financial sector regulator#
Antares Trust 2026	PTC Series A1	18.01	18.01	[ICRA]A-(SO); provisional rating confirmed as final	RBI
	PTC Series A2	2.76	2.76	[ICRA]BBB+(SO); provisional rating confirmed as final	RBI

**Instrument details are provided in Annexure I*

#SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI.

Rationale

In August 2026, ICRA had assigned Provisional [ICRA]A-(SO) rating to Pass Through Certificate (PTC) Series A1 and Provisional [ICRA]BBB+(SO) rating to Pass Through Certificate (PTC) Series A2 issued by Antares Trust 2026. The PTCs are backed by microfinance loan receivables originated by Pahal Financial Services Pvt. Ltd (PFSPL/Originator; rated [ICRA]BB+(Watch with developing implications)[1] with an aggregate principal outstanding of Rs. 24.01 crore (pool receivables of Rs. 29.78 crore). PFSPL is also the servicer of the rated transaction.

Further since the executed transaction documents are in line with the other rating conditions and the legal opinion for the transaction has been provided to ICRA, the said ratings have now been confirmed as final.

Pool performance summary

Parameter	Antares Trust 2026
Payout month	September 2026
Months post securitisation	1
Pool amortisation	8.54%
PTC Series A1 amortisation	15.92%
PTC Series A2 amortisation	0.00%
Cumulative prepayment rate	0.24%
Cumulative collection efficiency[2]	99.68%
Loss-cum-0+ days past due (dpd)[3]	0.41%
Loss-cum-30+ dpd[4]	0.15%
Loss-cum-90+ dpd[5]	0.00%
Cumulative cash collateral utilisation	0.00%

Transaction structure

As per the transaction structure, the monthly cash flow schedule comprises the promised interest payout to PTC Series A1 and PTC Series A2. The principal is expected to be paid on a monthly basis (100% of the pool principal billed) to PTC Series A1 but

[1] *The current rating rationale of the originator, available at this link, provides its detailed rating history and rating transitions.*

[2] *(Cumulative current collections and overdue collections)/(Cumulative billings + Opening overdues at the time of securitisation)*

[3] *Unbilled and overdue principal portion of delinquent contracts as a % of Initial pool principal*

[4] *Unbilled and overdue principal portion of contracts delinquent for more than 30 days as a % of Initial pool principal*

[5] *Unbilled and overdue principal portion of contracts delinquent for more than 90 days as a % of Initial pool principal*

is promised on the final maturity date. Post the maturity of PTC Series A1, collections would be passed on to meet expected principal payouts to PTC Series A2. The entire principal repayment to PTC Series A2 is promised on the scheduled maturity date. The excess interest spread (EIS) available after meeting the expected and promised PTC payments would pass first to PTC Series A1 till live and then to PTC Series A2. All prepayments would pass first to PTC Series A1 till live and then to PTC Series A2. The final maturity date for both series of PTCs is April 14, 2028.

The credit enhancement available in the structure is in the form of (i) a cash collateral (CC) of 8.00% of the initial pool principal, amounting to Rs. 1.92 crore, to be provided by the Originator, (ii) principal subordination of 25.00% of the initial pool principal (including the principal payable to PTC Series A2 and over-collateralisation) for PTC Series A1 and subordination of 13.50% of the initial pool principal for PTC Series A2 (including over-collateralisation), and (iii) the excess interest spread (EIS) of 17.28% of the initial pool principal for PTC Series A1 and PTC Series A2.

Key rating drivers and their description

Credit strengths

Granular pool supported by presence of credit enhancement – The pool is granular, consisting of 4,832 contracts, with no contract exceeding 0.04% of the pool principal, thereby reducing the exposure to any single borrower. Further, the credit enhancement available in the form of the CC, subordination and EIS would absorb some amount of the losses in the pool and provide support in meeting the PTC payouts.

No overdue contracts in the pool- The pool has been filtered in such a manner that there are no overdue contracts as on the cut-off date.

Servicing capability of Pahal – The company has adequate processes for servicing of the loan accounts in the securitised pool. It has demonstrated long track record of regular collections and recovery across geography.

Credit challenges

High geographical concentration- The pool has high geographical concentration with the top 3 states, viz. Gujarat, Rajasthan and Bihar, contributing ~71% to the initial pool principal amount. The pool's performance would thus be exposed to any state-wide disruption that may occur due to natural calamities, political events, etc.

Risks associated with lending business – The pool performance would remain exposed to macro-economic shocks, business disruptions and natural calamities that may impact the income-generating capability of the borrowers and their ability to make timely repayments of their loans. The performance of microfinance loans would also be exposed to political and communal risks.

Vulnerable asset quality in microfinance sector – The microfinance sector has seen lower collections and elevated delinquencies on account of borrower overleveraging and attrition in collection teams in the past. However, portfolio collections and asset quality are better from the post guardrail book which is a source of comfort.

Key rating assumptions

ICRA's cash flow modelling for rating securitisation transactions involves the simulation of potential losses, delinquencies and prepayments in the pool. The losses and prepayments are assumed to follow a log-normal distribution. The assumptions for the losses and the coefficient of variation are considered on the basis of the values observed from the analysis of the past performance of the Originator's loan portfolio as well as the characteristics of the specific pool being evaluated. The resulting collections from the pool, after incorporating the impact of the losses and prepayments, are accounted for in ICRA's cash flow model, in accordance with the cash flow waterfall of the transaction.

For the current pool, ICRA has estimated the shortfall in the pool principal collection during its tenure at 5.50% of the pool principal with certain variability around it. The average prepayment rate for the underlying pool is modelled in the range of 3% to 9% per annum. Various possible scenarios have been simulated at stressed loss levels and prepayment rates and the incidences of default to the investor as well as the extent of losses are measured after factoring in the credit enhancement to arrive at the final rating for the instrument.

Details of key counterparties

The key counterparties in the rated transaction are as follows:

Transaction Name	Antares Trust 2026
Originator	Pahal Financial Services Pvt. Ltd. (Pahal)
Servicer	Pahal Financial Services Pvt. Ltd. (Pahal)
Trustee	Mitcon Credentia Trusteeship Services Limited
CC holding bank	ICICI Bank Limited
Collection and payout account bank	ICICI Bank Limited

Liquidity position: Superior

Superior for PTC Series A1

The liquidity for PTC Series A1 is superior after factoring in the credit enhancement available to meet the promised payouts to the investor. The total credit enhancement is ~8.25 times the estimated loss in the pool.

Superior for PTC Series A2

The liquidity for PTC Series A2 is superior after factoring in the credit enhancement available to meet the promised payouts to the investor. The total credit enhancement is ~6.25 times the estimated loss in the pool.

Rating sensitivities

Positive factors – The sustained strong collection performance of the underlying pool of contracts (monthly collection efficiency >95%), leading to lower-than-expected delinquency levels, and an increase in the cover available for future investor payouts from the credit enhancement would result in a ratings upgrade along with an improvement in credit profile of servicer.

Negative factors – The sustained weak collection performance of the underlying pool of contracts (monthly collection efficiency <90%), leading to higher-than-expected delinquency levels and higher credit enhancement utilisation levels, would result in a ratings downgrade. Weakening in the credit profile of the servicer could also exert pressure on the ratings.

Analytical approach

The rating action is based on the trustee confirming compliance with the terms of the transaction and the executed transaction documents being in line with the terms initially shared with ICRA.

Analytical Approach	Comments
Applicable rating methodologies	Rating Methodology for Securitisation Transactions
Parent/Group support	Not applicable
Consolidation/Standalone	Not applicable

About the originator

PFSPL is an Ahmedabad-based non-banking financial company-microfinance institution (NBFC-MFI) registered with the Reserve Bank of India. It commenced operations in March 2011 by acquiring the existing operations of Lok Vikas Nidhi, a trust operational in Gujarat, for over 25 years. The current promoters acquired the portfolio of Rs. 2.6 crore spread over 15 branches, along with the field staff of Lok Vikas, and subsequently transferred the acquired portfolio to an NBFC along with an equity contribution of Rs. 2 crore. The NBFC was renamed Pahal Financial

Services Pvt. Ltd. PFSPL lends to women primarily in the rural and semi-urban areas of Gujarat, Rajasthan, Madhya Pradesh, Bihar, Uttar Pradesh, Chhattisgarh, Haryana, Maharashtra, Tamil Nadu, Puducherry and Telangana.

Key financial indicators (audited)

SSFL (standalone)	FY2024	FY2025	FY2026
Total income	461	486	389
Profit after tax	39	6	-89
Total managed assets	2,402	2,294	2,728
Gross Stage 3 (%)	2.2%	6.4%	2.3%
CRAR	18.4%	29.9%	22.3%

Source: Company, ICRA Research; All ratios as per ICRA's calculations; Amounts in Rs. crore

Status of non-cooperation with previous CRA: Not applicable

Any other information: None

Rating history for past three years

Trust name	Current rating (FY2027)					Chronology of rating history for the past 3 years		
	Instrument	Initial rated amount (Rs. crore)	Current rated amount (Rs. crore)	Date & rating in FY2027		Date & rating in FY2026	Date & rating in FY2025	Date & rating in FY2024
				October 30, 2026	August 24, 2026	-	-	-
Antares Trust 2026	PTC Series A1	18.01	18.01	**[ICRA]A-(SO)**	**Provisional [ICRA]A-(SO)**	-	-	-
	PTC Series A2	2.76	2.76	**[ICRA]BBB+(SO)**	**Provisional [ICRA]BBB+(SO)**	-	-	-

Complexity level of the rated instrument

Instrument	Complexity Indicator
PTC Series A1	Highly Complex
PTC Series A2	Highly Complex

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: click here

Annexure I: Instrument details

Trust name	Instrument name	Date of Issuance / sanction	Coupon rate (p.a.p.m)	Maturity date	Amount rated (Rs. crore)	Current rating	Financial Sector Regulator#
Antares Trust 2026	PTC Series A1	August 14, 2026	13.50%	April 14, 2028	18.01	[ICRA]A-(SO)	RBI
	PTC Series A2	August 14, 2026	14.50%	April 14, 2028	2.76	[ICRA]BBB+(SO)	RBI

Source: Company

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Annexure II: List of entities considered for consolidated analysis

Not applicable

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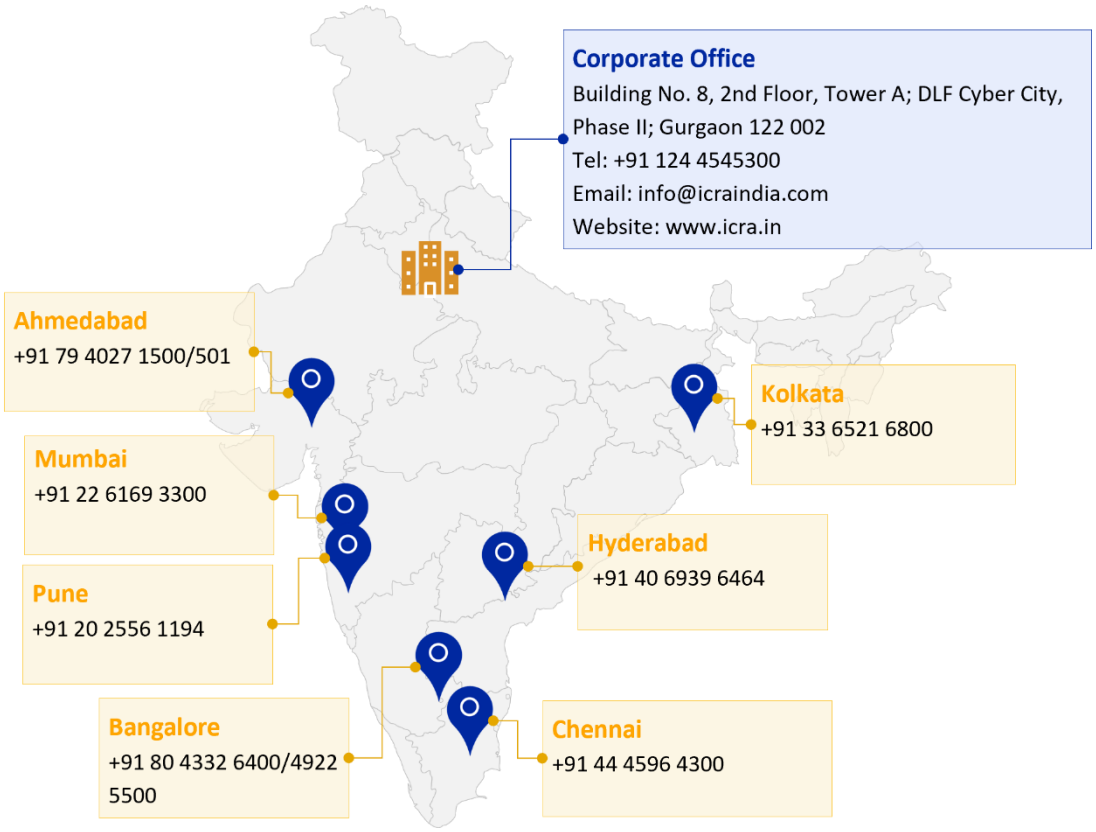
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